The Gold Standard and Reserve Bank Bill was prepared by the India Office and introduced in the Legislative Assembly on January 25, 1927, by Sir Basil Blackett, the Finance Member, ostensibly to implement the recommendations of the Hilton Young Commission. The debate on the Bill showed that the general opinion was against a shareholders' bank. Apart from Purshotamdas some of the other notable personalities who opposed a shareholders' bank included Pt Madan Mohan Malaviya, R.K. Shanmukham Chetty, Jamnadas Mehta, and Lala Lajpat Rai. However, there was no unanimity on what government control meant. Thus, while Jamnadas Mehta said that a State Bank had 'no charm' for him, unless it was under 'national control', others like R.K. Shanmukham Chetty and Purshotamdas were very emphatic that the Reserve Bank should not only be free from government control but also from any influence of the Legislature. Lala Lajpat Rai, on the other hand, wanted the House to have a voice in the management of the bank and favoured election of some members of the Board members by the Legislature. Pt Madan Mohan Malaviya favoured election of the Directors by and from the Legislatures. Sir Victor Sassoon and Mr (later Sir) Kikabhai Premchand were against the Legislature's electing the Directors.[5]

The Indians were upset at the failure of the government to meet their demand that the directorate of the bank should be predominantly Indian. Control over the bank by representative Indians was a basic demand and it was with this in mind that Purshotamdas defended Pt Madan Mohan Malaviya and Lala Lajpat Rai's demand in the Assembly that the Legislature should form part of the electorate of the bank. The holy cow of keeping the bank free from political influence was dismissed as a sham with Purshotamdas arguing that even the IMC, his own commercial constituency, was more political than many others. He observed that the question was not about the need to guard the bank against the influence of the non-official benches of the legislature but against the influence of the executive branch of the government. He declared on the floor of the Assembly that 'to say that the Legislatures of India, as at present constituted…, are likely to exercise any influence which can count, or which is more sinister or more anti-Indian than the political influence exercised by the government of India as at present constituted is a proposition which will require a good deal of beating for its extraordinary extravagance.'[6]